

PgBee Expansion Strategy

Business Expansion Roadmap for Kerala and South India

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1. Executive Summary

PgBee successfully completed its beta launch in Thiruvananthapuram, focusing primarily on students from the College of Engineering Trivandrum (CET).

The pilot demonstrated strong market validation through successful hostel onboarding and student bookings.

Current Performance

KPI	Value
Hostels Onboarded	38
Students Registered	74
Total Bookings	74
Commission Per Booking	₹499
Total Revenue	₹36,926
Profit	₹26,926
Profit Margin	72.92%

Strategic Objective

Expand PgBee from a successful city-level pilot into a statewide hostel discovery and booking platform.

2. Current Business Assessment

Beta Launch Results

The Thiruvananthapuram pilot successfully validated:

- Student demand for hostel discovery
- Online booking acceptance
- Hostel owner willingness to partner
- Revenue generation through commission model

Key Success Factors

Student Benefits

- Faster hostel discovery
- Verified hostel listings
- Transparent pricing

Hostel Owner Benefits

- Increased occupancy
- Digital visibility
- Lead generation

PgBee Benefits

- Scalable commission model
 - Low operational cost
 - High profit margins
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3. Market Opportunity Analysis

Kerala Student Accommodation Market

Kerala hosts:

- Engineering Colleges

- Medical Colleges
- Arts & Science Colleges
- Professional Institutions

Large student migration creates continuous demand for hostel accommodation.

Key Demand Drivers

- Outstation students
 - Increasing college admissions
 - Growing private education sector
 - Rising hostel occupancy rates
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4. Expansion Evaluation Framework

Districts were evaluated using four factors.

Demand Score (40%)

Measures:

- Number of colleges
- Student population
- Migration demand

Supply Gap (30%)

Measures:

- Hostel availability
- Capacity shortages
- Occupancy rates

Competition Score (20%)

Measures:

- Existing platforms
- Local hostel networks

Revenue Potential (10%)

Measures:

- Average hostel pricing
- Booking volumes

Scoring Formula

Expansion Score =
(0.4 × Demand)
+
(0.3 × Supply Gap)
+
(0.2 × Competition Advantage)
+
(0.1 × Revenue Potential)

5. Kerala District Ranking

Expansion Priority Analysis

Rank	District	Score
1	Thiruvananthapuram	95
2	Ernakulam	88
3	Kozhikode	82
4	Thrissur	75
5	Kollam	68

Interpretation

Thiruvananthapuram

Strengths:

- Existing PgBee presence

- Established hostel network
- Strong college ecosystem

Ernakulam

Strengths:

- High student population
- Large educational ecosystem
- Strong hostel demand

Kozhikode

Strengths:

- Growing education hub
 - Moderate competition
 - Good expansion potential
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6. Recommended Expansion Phases

Phase 1

Strengthen Thiruvananthapuram

Timeline:

0 – 6 Months

Target:

Metric	Current	Target
Hostels	38	50
Bookings	74	150

Actions:

- Expand hostel inventory
- Improve student acquisition
- Increase booking conversion

Phase 2

Launch Ernakulam

Timeline:

6 – 12 Months

Target:

KPI	Target
Hostels	75
Bookings	250

Actions:

- College partnerships
 - Hostel onboarding campaigns
 - Local marketing
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Phase 3

Launch Kozhikode

Timeline:

12 – 24 Months

Target:

KPI	Target
Hostels	50
Bookings	180

Actions:

- Regional sales team
 - Digital acquisition
 - Referral programs
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7. Revenue Projection

Revenue Formula

Revenue = Bookings × ₹499

Phase 1 Revenue

Metric	Value
Bookings	150
Revenue	₹74,850

Phase 2 Revenue

Metric	Value
Bookings	250
Revenue	₹124,750

Phase 3 Revenue

Metric	Value
Bookings	180
Revenue	₹89,820

Total Expected Revenue

District	Revenue
Thiruvananthapuram	₹74,850
Ernakulam	₹124,750
Kozhikode	₹89,820

Combined Revenue

₹289,420

8. Risk Assessment

Operational Risks

Slow Hostel Onboarding

Impact:

- Reduced inventory

Mitigation:

- Dedicated onboarding team
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Low Student Awareness

Impact:

- Reduced bookings

Mitigation:

- Campus ambassador program
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Market Risks

Competition

Impact:

- Market share loss

Mitigation:

- Faster expansion
 - Better user experience
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Economic Changes

Impact:

- Reduced student spending

Mitigation:

- Flexible pricing model
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9. Strategic Recommendations

Immediate Actions

1. Expand existing Trivandrum operations.
2. Increase hostel inventory to 50+ properties.
3. Improve booking conversion rates.

Medium-Term Actions

1. Launch Ernakulam operations.
2. Build college partnerships.
3. Establish regional onboarding teams.

Long-Term Actions

- 1. Enter Kozhikode.
 - 2. Expand to major Kerala districts.
 - 3. Prepare for South India expansion.
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10. Future Expansion Beyond Kerala

Priority States

Rank	State
1	Karnataka
2	Tamil Nadu
3	Telangana
4	Andhra Pradesh
5	Maharashtra

Expansion Vision

2026:
Kerala Leadership

2027:
South India Presence

2028:
National Student Accommodation Platform

11. Conclusion

The Thiruvananthapuram beta successfully validated PgBee's business model.

Key achievements:

- 38 hostels onboarded
- 74 successful bookings
- ₹36,926 revenue generated
- 72.92% profit margin achieved

The recommended strategy is:

Phase 1 → Strengthen Thiruvananthapuram

Phase 2 → Launch Ernakulam

Phase 3 → Launch Kozhikode